Ans. (c) :In term of electoral analysis, the voter-seat distortion is to be explained as the result of the adoption of the first-past-the-post system. It explains that who gets more votes in terms of number is victorious.

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67. If in an election to a State Legislative Assembly the candidate who is declared elected loses his deposit, it means that:

(a) The polling was very poor
(b) The election was for a multi-member constituency
(c) The elected candidate's victory over his nearest rival was very marginal
(d) A very large number of candidates contested the election

Ans. (d) : According to the representation of people act 1951, it is mandatory for every candidate contesting election (Parliamentary or Assembly election) to deposit a certain security amount.

Now, if candidate gets fewer than $1/6^{th}$ of total valid votes caste in the constituency, his security deposit will be lost.

If in a case a candidate who is declared elected and loses his deposit, it means that a very large number of candidates contested the election.

ECONOMY

68. To prevent recurrence of scams in Indian Capital Market, the
Government of India has assigned regulatory powers to

(a) SEBI
(b) RBI
(c) SBI
(d) SBI

Ans. (a) : To prevent recurrence of scams in Indian Capital Market, the government of India has assigned regulatory powers to SEBI (Security and Exchange Board of India).

The Security and Exchange Board of India is the regulatory body for securities and commodity in India under the jurisdiction of ministry of finance, Government of India. It was established on 12th April, 1992 and given statutory powers o 30th January, 1992 through the SEBI Act, 1992.

69. Which one of the following Five-Year Plans recognised human development as the core of all developmental efforts?

(a) The Third Five-Year Plan
(b) The Fifth Five-Year Plan
(c) The Sixth Five-Year Plan
(d) The Eighth Five-Year Plan

Ans. (d) : Eighth Five Year Plan (1992-1997), has recognized human development as the core of all development efforts.

The major objective of 8th five year plan was.

(i) Creation of employment, check population growth and overall human development.
(ii) Primary health facilities, drinking water and vaccination in all villages.
(iii) Strength the basic infrastructure.
(iv) 8th plan was a plan for managing the transition from a centrally planned economy to market led economy through indicative planning.

70. Which of the following are the objectives of the Commission for Agricultural Costs and Prices (CACP)?

I. To stabilise agricultural prices.
II. To ensure meaningful real income levels to the farmers.
III. To protect the interest of the consumers by providing essential agricultural commodities at reasonable rates through public distribution system.
IV. To ensure maximum price for the farmer.
Select the correct answer from the codes given below:

Codes:

(a) I, II and III (b) I, II and IV
(c) I, III and IV (d) II, III and IV

Ans. (a) : The Commission for Agricultural Costs and Price (CACP), set up in 1965, is a decentralized agency of the Government of India. It is an expert body which recommends the Minimum Support Prices (MSPs) by taking into consideration various factors.

The objective of the commission are:

To recommend Minimum Support Price (MSPs).

To stabilize agricultural prices.

To ensure meaningful real income level to the farmers.

To protect the interest of the consumer by providing essential agricultural commodities at reasonable rates through public distribution system.

71. As part of the liberalisation programme and with a view to attracting foreign exchange, the Government and the RBI have devised two schemes known as FCNR-'A' and FCNR-'B'. Which of the following is/are true regarding these two schemes?

I. Under scheme 'A' RBI bears exchange rate fluctuations.
II. Under scheme 'B', other banks are to meet out the difference in exchange rate fluctuations.
III. Both the schemes stand withdrawn now.
IV. Only scheme 'A' has been withdrawn.
Select the correct answer from the codes given below:

Codes:

(a) III only (b) I and II
(c) I, II and III (d) I, II and IV

Ans. (d) : FCNR account stands for Foreign Currency Non-Resident Account. FCNR accounts are term deposit account, which are maintained by the NRI's and PIOS in the form of foreign currencies.

FCNR-B was introduced with an aim to replace the already prevailing FCNR-A. The foreign exchange risk related to FCNR-A was borne by RBI and subsequently by the government of India. Whereas under Scheme FCNR-B, other banks are to meet out the difference in exchange rate fluctuations.

Thus statement 3 is incorrect and all other are correct.

72. Which of the following are among the non-plan expenditures of the Government of India?

I. Defence expenditure
II. Subsidies
III. All expenditures linked with the previous plan periods
IV. Interest payment
Choose the correct answer from the codes given below:

Codes:

(a) I and II (b) I and III
(c) II and IV (d) I, II, III and IV

Ans. (d) : Non-plan expenditure is what the government spends on the so called non-productive areas and is mostly obligatory in nature. It includes salaries, subsidies, loans and interest payment defence expenditure.

Thus all of the codes given are correct and hence, option (d) is correct.

73. Which of the following pairs are correctly matched?

I. Increase in foreign exchange reserves ..... Monetary expansion
II. Low import growth rate in India ..... Recession in Indian Industry
III. Euro-issues ..... Shares held by Indian companies in European countries
IV. Portfolio investment ..... Foreign institutional investors
Select the correct answer by using the following codes:

Codes:

(a) I, II and IV (b) III and IV
(c) I, II and III (d) I, II, III and IV

Ans. (d) : The correctly matched pairs are mentioned as below.

(i) Increase in foreign reserve exchange – Monetary expansion
(ii) Low import growth rate in India – Recession in Indian Industry
(iii) Euro-issues – Shares held by Indian companies in European countries
(iv) Portfolio investment – Foreign institutional Investors

Thus all are correctly matched.

74. What is the annual growth rate aimed at in the Eighth Five-Year Plan?

(a) 5.6% (b) 6%
(c) 6.5% (d) 7%

Ans. (a) : The annual growth rate targeted during eighth five year plan was 5.6%. But actual return at the end of year was 6.6%.

75. Which one of the following is the largest mutual fund organisation in India?

(a) SBI Mutual Fund
(b) GIC Mutual Fund
(c) Industrial Bank Mutual Fund
(d) Unit Trust of India

Ans. (d) : In 1963, the Unit Trust of India (UTI) was established by an act of parliament. It was set up by the Reserve Bank of India and functional under the regulatory and administrative control of it.

In 1964, UTI launched its first mutual fund scheme. Its headquarter is in Mumbai and have 41 regional office throughout the country.

76. Corporation tax:

(a) is levied and appropriated by the States
(b) is levied by the Union and collected and appropriated by the States
(c) is levied by the Union and shared by the Union and the States
(d) is levied by the Union and belongs to it exclusively

Ans. (d) : Corporation tax is a direct tax imposed on the net income or profit that enterprises make from their business.

Company registered under companies Act 1956, are liable to pay corporation tax.

As corporation tax is direct tax and it levied by the union and it belongs to union exclusively.

77. Which of the following constitute the World Bank?

I. International Bank for Reconstruction and Development
II. International Finance Corporation
III. International Development Association
IV. International Monetary Fund.
Choose the correct answer from the codes given below:

Codes: